

Should Criminal Fines be Income-Dependent? Theory and Evidence from Finnish Speeding Fines

Aaron Payne^{*}(*Job Market Paper*) & Martti Kaila[†]

Abstract

We evaluate rationales for income-based speeding fines, as famously applied in Finland, where a \$250 offense for a low-income speeder can cost \$100,000 for the rich. We assess whether this controversial policy can be rationalized by any of four goals—externality mitigation, redistribution, equal deterrence, and proportional punishment—using linked Finnish administrative data and an original survey. First, using a “job-loss” design, we find that marginal speeding costs decrease with offender income, leading us to reject externality mitigation as a rationale. Next, we assess the redistributive rationale. In standard models, indirect taxes aid redistribution only if the taxed action serves as a signal for earnings ability. We recover this signal by differencing speeding behavior with respect to causal effects of income on speeding, estimated from within-individual earnings variation and inheritance shocks. The estimated signal is negatively correlated with earnings, implying that Mirrleesian redistribution rationalizes a lower fine on the rich. Finally, we use our survey to assess whether preferences for equal deterrence or proportional punishment are motivating rationales. Respondents trade off fixed and income-based speeding fine policies, where the latter vary in schedule “steepness” and the induced across-income distribution of behavior. Net of redistribution, respondents are on-average willing to forgo €144 million in government revenue to implement income-based policies. However, these valuations are insensitive to schedule-steepness or induced behavior, ruling out our candidate rationales. Given our findings, speeding fines should incorporate some income-dependence but need not feature the extremes in Finland. Residual support for income-dependence suggests that current policy reflects either unmodelled instrumental considerations or direct, non-instrumental preferences.

^{*}The Wharton School at the University of Pennsylvania; E-mail: aapayne@wharton.upenn.edu; corresponding author

[†]Adam Smith Business School at the University of Glasgow; E-mail: martti.kaila@glasgow.ac.uk